

9. (a) Details of Unspent CSR amount for the preceding three financial years:

Sl. No	Preceding Financial Year.	Amount transferred to Unspent CSR Account under section 135 (6) (in Rs.)	Amount spent in the reporting Financial Year (in Rs.).	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any.			Amount remaining to be spent in succeeding financial years. (in Rs.)
				Name of the Fund	Amount (in Rs).	Date of transfer.	
1.	2020-21	-	-	PM CARES FUND	64.00 Lakhs	28.03.2022	-
	TOTAL				64.00 Lakhs		

(b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s): NIL

10. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year (asset – wise details)

- (a) Date of creation or acquisition of the capital asset(s): NA
- (b) Amount of CSR spent for creation or acquisition of capital asset NA
- Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address, etc. NA
- (c) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset). NA

11. Specify the reasons(s), if the Company has failed to spend two per cent of the average net profit as per section 135(5) :

Due to various reasons like Covid pandemic, financial constraints, etc, all the approved CSR activities could not be accomplished in time and hence amount of Rs. 11.46 Lakhs remain unspent as on 31st March 2022. The Board of Directors with the recommendation of CSR Committee has approved transfer of Rs. 11.46 Lakhs to PM Cares Fund.

For & on behalf of the Board

Place: Bengaluru
Date : 10th August 2022

D Venkateswarlu
Director Production,
(Addl. charge) Chairman and Managing Director &
(Addl. charge) Director HR
Chairman of Committee
DIN : 08605954

Annexure 4
Business Responsibility Report
Section A: General Information about the Company

1.	Corporate Identity Number (CIN) of the Company	L32202KA1950Gol000640
2.	Name of the Company	ITI Limited
3.	Registered address	ITI Bhavan, Doorvani Nagar, Bengaluru -560 016
4.	Web site	www.italtd.in
5.	E-mail id	cosecy_crp@italtd.co.in
6.	Financial Year reported	2021-22
7.	Sector(s) that the Company is engaged in (industrial activity code-wise)	Telecommunication Technology, Defence Products, Turnkey project execution, manufacturing & supplying of communication systems & products
8.	List three key products/services that the Company manufactures /provides (as in balance sheet)	1) Manufacturing and Supply of 24F/48F/96F Optical Fiber Cable to various Projects/Customers. 2) Execution of ASCON Ph-IV for deploying strategic network for secured communication across the country and subsequent maintenance for next 10 years. The project involves deployment and maintenance of communication network across India for the defence forces. This includes civil works for the infrastructure and optical fiber network, installation, commissioning and maintenance of equipment such as IP MPLS routers, Microwave Radio, Satellite terminals, NMS and testing tools. 3) Execution of Turnkey Project i.e "Implementing Agency (PIA) for Bharatnet Phase-II Project" for which HDPE Duct, OFC, GPON Equipment, FDMS, Solar Panel, Wi-Fi Equipment are manufactured at various Production Units

9.	Total number of locations where business activity is undertaken by the Company	
a.	Number of International Locations (Provide details of major 5)	Nil
b.	Number of National Locations	Manufacturing Plants at: Bengaluru (Karnataka), Palakkad (Kerala), Rae Bareilly (Uttar Pradesh), Mankapur (Uttar Pradesh), Naini (Uttar Pradesh), Srinagar (Jammu & Kashmir) Network System Unit (Installation and Maintenance Services), Bengaluru Marketing Services Project at : Bengaluru, Mumbai, New Delhi, Chennai, Kolkata, Bhubaneswar, Lucknow and Hyderabad Local/Area Marketing Offices at: Thiruvananthapuram, Kochi, Pune, Nagpur, Ahmedabad, Ranchi, Dimapur, Raipur, Guwahati, Jaipur, Chandigarh, Bhopal, Trichy, Madurai, Coimbatore, Patna, Dehradun
10.	Markets served by the Company Local/State/ National/International	National

Section B: Financial Details of the Company

1.	Paid up Capital (INR)	9,33,52,28,690
2.	Total Turnover (INR)	2077.48 Crore
3.	Total profit after taxes (INR)	121.06 Crore
4.	Total spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	Rs 1.10 Crore was required to be spent. However, Rs 99.09 lakh was spent during fy 2021-22 towards CSR and balance Rs 11.46 lakhs will be transferred to fund specified under Schedule VII of the Companies Act, 2013.
5.	List of activities in which expenditure in 4 above has been incurred:-	As per Board approved CSR Policy, CSR projects are undertaken in various thrust areas viz., Education, Sanitation, Health care, Environment protection etc. The details are mentioned under Corporate Social Responsibility report.

Section C: Other Details

1.	Does the Company have any Subsidiary Company/ Companies?	No
2.	Do the Subsidiary Company/ Companies participate in the BR initiatives of parent company? If yes, then indicate the number of such subsidiary company(s)	Not Applicable
3.	Do any other entity/ entities (e.g., suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/ entities? [Less than 30%, 30-60%, More than 60%]	No. The Company does not mandate that suppliers and partners to participate in the Company's BR initiatives. However they are encouraged to do so. Certain activities of the Company under the BR mandate Company's business partners also to follow.

Section D: BR Information

1.	Details of Director/Directors responsible for BR	
(a)	Details of the Director/ Directors responsible for implementation of the BR policy/ policies	
1.	DIN	08605954
2.	Name	Shri D Venkateswarlu
3.	Designation	Director Production and Addl Charge Chairman and Managing Director /Director HR
(b)	Details of the BR head	The Board has not assigned responsibilities specifically to any Director to function as the BR head.
	DIN	
	Name	
	Designation	
	Telephone No.	
	Email ID	

2. Principle-wise (asper NVGs) BR Policy/policies (Reply in Y/N)

The 9 principles outlined in the National Voluntary Guidelines are as follows:

P1	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
P2	Businesses should provide goods and services that are safe and contribute to sustainability throughout their lifecycle.
P3	Businesses should promote the well-being of all employees.
P4	Businesses should respect the interests of and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
P5	Businesses should respect and promote human rights.
P6	Businesses should respect, protect and make efforts to restore the environment.
P7	Businesses when engaged in influencing public and regulatory policy, should do so in a responsible manner.
P8	Businesses should support inclusive growth and equitable development.
P9	Businesses should engage with and provide value to their customers and consumers in a responsible manner.

Sl. No.	Questions	P1	P2	P3	P4	P5	P6	P7*	P8	P9
1	Do you have a policy/ policies for...	Y	Y	Y	Y	Y	Y	-	Y	Y
2	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	-	Y	Y
		The policies has been formulated in consultation with functional heads								
3	Does the policy conform to any national / international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	-	Y	Y
		Various policies conform to different applicable statutes/ guidelines/ rules etc. issued by Gol and other Regulatory authorities, and updated from time to time. Industry practices, national/ international standards are kept in view while formulating policies.								
4	Has the policy being approved by the Board? If yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	-	Y	Y
		Different policies are approved by the Board/ Competent Authorities as per delegation of power.								
5	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	-	Y	Y
		Chairman & Managing Director								
6	Indicate the link for the policy to be viewed online?	The policies are available on Company's website: www.itilttd.in								
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Yes. The policies have been communicated to the stakeholders by uploading on the Company's above mentioned website.								
8	Does the company have in-house structure to implement the policy/ policies.	Yes								
9	Does the Company have a grievance redressal mechanism related to the policy/ policies to address stakeholders' grievances related to the policy/ policies?	Yes								
10	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	The Company is subject to various audits such as Statutory Audit by firm of Chartered Accountants appointed by the Comptroller & Auditor General, C&AG Audit, Cost Audit, Internal Audit, Secretarial Audit, Energy Audit, Safety Audit, Quality Audit, Environmental management system audit etc. These audits ensure compliance to various internal and external policies.								

* ITI does not advocate influencing the public & regulatory policies for its gain, hence no policy is proposed. If required, the Company may approach the appropriate authorities through Trade and Industry Chambers and Association and other such collective platforms.

3. Governance related to BR

- (a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3months, 3-6months, Annually, More than 1 year

Chairman and Managing Director to review the BRR annually.

- (b) Does the Company publish a BR or a Sustainability Report? What is the hyper link for viewing this report? How frequently it is published?

Yes. The Company publishes BR Report annually as part of its annual report. The same can be viewed at http://www.ititd.co.in/investor_information

Section E: Principle-Wise Performance

Principle 1: Businesses should conduct and govern themselves with Ethics, Transparency and Accountability

1. Does the policy relating to ethics, bribery and corruption cover only the company? Yes/No. Does it extend to the Group/Joint Ventures/ Suppliers/ Contractors/NGOs/Others?

Yes. The policy covers the Company. The Company has implemented Integrity Pact (IP). Standard operating procedure (SOP) related to IP is followed to maintain ethics & transparency in public procurement by preventing corruption to a larger extent. IP is signed with bidders to enable them to raise any issues with regard to partnering with ITI for transfer of technology or bidding for high value tenders of more than Rs 25 lakhs floated from time to time.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?

During the financial year 2021-22, no investor complaints have been received by the Company through SEBI SCORES Platform, NSE and BSE and Registrar & Transfer Agent. As per Vigilance Department, total 33 complaints were received during year 2021-22 (including 6 complaints of previous year) through post and email. Out of these, 25 complaints have been disposed and 14 complaints were anonymous/pseudonymous complaints hence filed and for some complaints preventive checks were done.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their lifecycle

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

The following products are designed to address social /environmental concerns.

- ITI has pioneered a green computing initiative in India with the production of Micro PC along with Smart power Station, under the Make in India initiative of Government of India.
- ITI has developed a new product known as Portable ventilator Single Outlet Automated Resuscitator (SOAR) with ToT from DEBEL, DRDO. It has successfully undergone trial test in RR Hospital, Delhi and approval letter is awaited.
- ITI has established 18 MW solar panel manufacturing facility at its Naini unit for meeting requirement of solar panels as a part of powering the equipments with solar power supply in the country.
- Establishments of solar plants at Lucknow, Corporate office, Bangalore, Palakkad, Rae Bareilly, etc with a capacity and energy savings of 25%.

2. For each such product, provide the following details in respect of resourcen use (energy, water, raw material etc.) per unit of product (optional):

- Reduction during sourcing / production / distribution achieved since the previous year throughout the value chain?
- Reduction during usage by consumers (energy, water) has been achieved since the previous year?

1. SMAASH PC

This innovative solution would be able to save 80% energy and can reduce carbon footprint considerably. Installing a single SMAASH PC with a solar panel could eliminate 267 kilograms of carbon production per year. Consumption of eco-friendly products could also reduce waste generation. The solution helps the organizations to transform themselves into an environmentally responsible business and cutting down energy costs and save nature through the installation of combined Solar Online UPS systems.

2. Single Outlet Automatic Resuscitator (SOAR)

This product is being developed by DRDO known as Single Outlet Automatic Resuscitator (SOAR) which a life saving device that provides artificial breathing to the patient in case of emergency situations like Covid-19 and other respiratory diseases.

3. Solar Plants

Solar electricity replaces combustion heat from fossil fuels, thus contributes in reducing Co2 emission. The panels are used by customers to generate power using sunlight which is having a life span of 25 years, thus contributing significantly for environmental friendly process of power generation. ITI is in the pursuit of designing scalable solar solutions and systems that can efficiently and cost effectively capture, convert sunlight into electricity to reduce impact of Co2 emission in the environment.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)?

- (a) If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

Yes, the Company has established a rigorous selection mechanism for supplier selection. The Company provides feedback to suppliers by regularly monitoring performance on a variety of parameters including quality, cost and delivery.

The Company also follow the various stages of inspection and testing for the materials before accepting in the stores and production.

4. Has the company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work?

- (a) If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes, ITI is having dedicated vendor development department team which is interacting with the small producers and vendors nearby ITI Limited and its manufacturing unit, visiting their offices, making them aware of the quality and quantity requirements so as to enhance their capability and capacity to support our requirements in line with the specifications required by ITI.

Preference will be given to the local vendors for our annual procurement. The Company started Procurement through GeM Portal. The Company also complied with Public Procurement Policy.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.

The Company does not recycle products because most products are used for strategic/national security applications.

The Company has a structured mechanism to deliver waste from the manufacturing process of its products/ equipment through authorised recyclers approved by the Pollution Control Board. Metal waste, waste oil, solvents and copper containing rejects are sent (100%) to authorised recyclers for recycling and recovery. Paper and plastic are handed over to recyclers.

In addition, manufacturing plants have water treatment for effective recycling of wastewater from factory and township.

Principle 3: Businesses should promote the well being of all employees

- Please indicate the total number of employees: **1665 (permanent employees)**
- Please indicate the total number of employees hired on temporary / contractual/casual basis: **777**
- Please indicate the Number of permanent women employees: **247**
- Please indicate the Number of permanent employees with disabilities: **17**
- Do you have an employee association that is recognized by management?: **Yes**
- What percentage of your permanent employees is members of this recognized employee association?: **100%**
- Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the year

Sl. No.	Category	No of complaints filed during the financial year	No of complaints pending as at end of the financial year
1.	Child Labour / forced labour/ involuntary labour	NIL	NIL
2.	Sexual harassment	NIL	NIL
3.	Discriminatory employment	NIL	NIL

8. What percentage of your undermentioned employees were given safety and skill upgradation training in the last year.

Permanent/Tenure employees	38%
Permanent/Tenure Women Employees	55%
Contractual Employees	17%
Employees with Disabilities	24%

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

1. Has the company mapped its internal and external stakeholders?

Yes.

2. Out of the above, has the Company identified the disadvantaged, vulnerable and marginalized stakeholders.

Yes. The Company has identified officially designated group of people belonging to SC/ST and Persons with Disabilities as disadvantaged, vulnerable and marginalized stakeholders for employment opportunities.

3. Are there any special initiatives taken by the company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

The Company follows the reservation policy as per Government guidelines for persons with disabilities at the time of their appointment. Persons with disabilities are granted special Transport allowance at the rate of 5% of their basic pay.

The Company also follows the reservation policy for SC/ST at the time of their appointment and promotion. The Company has provided building/ infrastructure for housing SC/ST Welfare association Offices. Scholarship is awarded by the Company for the Children of SC/ST employees. The Company conduct various programmes from time to time at its HRD centre to sensitize the SC/ST employees about the various Government scheme/ facilities available.

Principle 5: Businesses should respect and promote human rights

1. Does the policy of the Company on human rights cover only the company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/ Others?

The various HR policies of the Company cover all aspects of human rights. No complaints have been received in the past financial year on human rights. The Company does not employ child labor and does not permit forced or compulsory labor.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

The followings are the grievance redressal systems maintained in the Company for its stakeholders :

- i. **Centralized Public Grievance Redress and Monitoring System (CPGRAMS)** is an online platform available to the Citizens 24*7 to lodge their grievance to the Public authorities on any subject related to service delivery.

It is a single portal connected to all the Ministries / Departments of the Government of India and States.

- ii. **Employee Grievance system:** Any issues/grievances of employees can be shared with reporting officers, Departmental Head and HR Department.

- iii. **Grievance Under Sexual Harassment :** As per the Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013 ('Act') and Rules made there under, Company has constituted Internal Complaints Committees (ICC) to redress complaints received regarding Sexual Harassment at all Units.

No stakeholder complaint was received during the year with regard to human rights.

Principle 6: Business should respect, protect, and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures/ Suppliers/Contractors/NGOs/others.

The environment policy of the Company covers only the Company.

2. **Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming etc? If yes, please give hyper link for web page etc.**

Yes. The Company addresses issues such as climate change and global warming through effective energy management measures and by adopting renewable energy sources. Energy-saving initiatives such as energy-efficient chillers, lighting management systems, building management systems, and daylight harvesting are followed. There is an impetus to use renewable energy sources such as solar power for energy generation and captive consumption. The company is aiming for attaining stage of net zero grid energy.

3. **Does the Company identify and assess potential environmental risks?**

Yes. ITI complies with the requirements of ISO 14001 environmental standards and meet all the statutory & regulatory requirements of environmental aspects in its manufacturing processes. Regular internal and external audits are also conducted to verify the effectiveness of the implementation.

4. **Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?**

Yes. Generation of Solar energy (Green Energy) through 300 KW capacity Solar energy power plants at ITI Naini Plant and MSP-Lucknow.

Details of electrical energy, carbon credits earned, etc during the year 2021-22 and cumulative from inception of these are provided below:

As on 31st March 2022:

- Total generation during 2021-22 : 1.52 MW Hrs
- Reduction in CO₂ emission : 7.6 Tons of CO₂

5. **Has the company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc. If yes, please give hyper link for web page etc.**

Yes. The concept of clean technology is practiced in the manufacturing process to prevent pollution. ITI is focused on the prevention of pollution at the source itself. Towards this end, several improvements and modifications have been incorporated in the existing processes. Many of the Restriction of Certain Hazardous Substance (RoHS) compliant processes have been introduced into the PCB manufacturing and metal finishing processes.

Additional environment friendly materials have been implemented, such as low smoke halogen cables, low VOC metal finish (polyurethane), cyanide-free silver, zinc and copper plating, and trivalent chromium-based chromate conversion coating.

ITI has installed a 400 KW Grid Interactive Rooftop Solar PV power plant and 5200 KW Grid Interactive Rooftop Solar PV plant is under Progress. Total green energy from the solar power plant during 2021-22 is 1.52 MW Hrs and CO₂ emission avoided amounted to 7.6 Tons of CO₂.

6. **Are the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?**

Yes. This is being closely monitored as per prevailing Guidelines.

7. **Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.**

Nil, the Company has a good record of environment management and compliance.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.

1. **Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:**

- (a) Standing Conference of Public Enterprises (SCOPE)
- (b) National Safety Council
- (c) Electronic Industries Association of India (ELCINA)
- (d) Federation of Karnataka Chambers of Commerce & Industry (FKCCI)
- (e) Telecom Equipment & Services Exports Promotion Council (TEPC)
- (f) India Electronics & Semiconductor Association (IESA)
- (g) Broadband India Forum

2. **Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)**

ITI is collaborating & interacting with all the above institutions for contributing by proactively involving in various policy initiatives, programmes, events etc.

Principle 8: Businesses should support inclusive growth and equitable development

1. **Does the Company have specified programmes/ initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.**

The Company has adopted a CSR policy for Social welfare of the society. The projects mentioned therein are in line with Schedule VII of Companies Act 2013 and are attempting for inclusive growth & equitable development.

2. **Are the programmes/projects undertaken through in-house team/own foundation/external NGO/ government structures/any other organization?**

The Company has undertaken CSR project through in-house teams.

3. **Have you done any impact assessment of your initiative?**

Yes. Impact assessment is crucial to view the effect of the activity conducted. ITI conducts impact assessment as a part of the project for the majority of projects.

4. **What is your Company's direct contribution to community development projects- Amount in INR and the details of the projects undertaken.**

The Company is not engaged in Community development projects as one of its business activities. However, such projects are being planned under CSR activities.

5. **Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.**

As explained above under Principle 8, the Company is not obliged to spend towards community development projects. However, as part of CSR activities, engagement of the community is paramount for sustaining any community development program on ground. We ensure engagement of the community at the very planning stage and thereafter induct them at the implementation level. This not only ensures acceptance of the programme